

Town of Westhampton  
Town Hall  
1 South Road  
Westhampton, MA 01027

Finance Committee Meeting Minutes  
Tuesday, April 8, 2014

Please note: All budget line item numbers noted in these minutes reflect the latest budget available on April 8. Please refer to that budget when reviewing these minutes. The budget line item numbers will have changed in the final budget for Town Meeting. The meeting convened at 6:45 PM

Present:

Finance Committee Members: Ellice Gonzalez, Jackie Brodeur, Mary Cleary, Maryanne Duggan, Aniko Giordano, Margaret Parsons, Joseph Pipczynski, Celeste Whiting, Edward Zawacki.

1. Reviewed minutes from 4/1/14. Voted 8-0-0 to accept the minutes.

2. Old Business:

The Finance Committee has a vacant spot for a one-year term. We have been seeking a new member to fill that spot. Potential candidates are Sacheverell "Chevy" Seney and Thomas Cleary Jr. It is reported that Sacheverell is very enthusiastic about the position. We wondered if Thomas would consider the Selectmen's position that will be vacated by John Shaw Jr.

The Town Caucus will be on April 14th at 7:30.

Town Meeting will be May 10th. The Finance Committee members will sit at the front table.

The Municipal Conference will be Saturday, April 12. FinCom members, Ellice, Celeste and Mary will attend.

There is no correspondence this week.

3. The Budget:

Ellice reviewed the process. We will vote on each line of the budget. Some lines will be held for discussion. Other lines will be voted in groups if there are no questions or need for discussion.

We updated the amount on line 45 for the elementary budget as per the recently received information regarding the Foundation Reserve Funds. The town accountant

asked Margie about a deposit into the town account. Margie researched the deposit and reported that the elementary school applied for funds from the Foundation Reserve (so-called "pothole money") to help offset costs for the school. The amount granted was \$48,162 (of which \$6,865 goes for transportation). Since this amount must be spent this school year, this will free up the equivalent amount from School Choice money which we can apply toward the budget for FY15. Therefore the starting number for budget discussions for line 45 was \$1,483,183 (\$1,524,480-\$41,297).

### **General Government (Lines 1-26)**

Next, we considered lines 1-26. We held lines 2, 10 and 11 for further discussion. We voted 9-0-0 to accept lines 1-26, excluding 2, 10 and 11.

Discussed line 2: Counsel Fees. With the understanding that counsel fees for FY14 have exceeded the \$8000 allocated for that year, the committee discussed the significant proposed increase within the context of this year's budget. The committee voted 8-1-0 to recommend that \$15,000 be allocated to line 2 (counsel fees).

Discussed line 10: Question regarding the amount and need. Margie reported that it was decided last year to spread the fee for the town audit over two years and reported that an audit is needed for this year due to the change in personnel. FinCom voted 9-0-0 to accept line 10: Audit \$7000.

Discussed line 11: IT contract. We reviewed the Northeast IT letter and proposed services. Discussion centered around whether the town is in need of IT support, computer backups and a new website. Also discussed was the possibility of having Northeast IT conduct an assessment of the town's computers and systems, but hold off on committing to an IT service contract or new website. It was noted at last year's Town Meeting that IT support seemed to be an issue, but the town was not ready to commit to a contract with HCOG. The IT committee was formed and did a departmental needs assessment and sought information from other IT service providers. FinCom voted 8-0-1 to allocate \$1,000 to line 11: IT Contract (the amount for a computer systems assessment from Northeast IT).

### **Highways (Lines 28-38)**

We considered lines 29-38. We held lines 29, 34, 36 and 38 for discussion). We voted 9-0-0 to accept lines 30, 31, 32 and 33 as is). (Note: line 32 was reconsidered and revoted later in the meeting).

Discussed line 29: Highway Administration. We discussed the amount listed on line 29 (\$4,940) and corrected it as per the presentation giving by David Blakesley on April 1. David reported that the amount should be adjusted as he incorrectly entered one amount and also needed to add funds for the required physicals for his staff. The correct, adjusted amount for line 29 is \$4,740. FinCom voted 9-0-0 to accept.

Discussed line 34: Snow Removal. We noted that this is the only line of the budget where the town is able to go into debt in a given year. Keeping this in mind, we voted 9-0-0 to recommend \$90,000 for line 34. (Note: this was changed later in our meeting when we needed to reconsider the budget in order to balance it.)

Discussed line 36: Transfer Station Expenses. We noted that the Transfer Station Expenses have been historically overfunded or level funded and that the expenses are going down due to the purchase of a trash compactor. Therefore the committee recommended that the amount be level funded and not increase. We voted 9-0-0 to recommend \$59,960 for Transfer Station Expenses.

Discussed line 38: Highway Truck. The only way to be able to purchase the Highway Truck is to make it a debt exclusion or a capital expense. Margie presented the committee with a Draft Debt Schedule (see attached) outlining the impact on the tax rate for a debt exclusion for the truck. For every \$213,000 we raise outside of the levy limit there is another \$1 on the tax rate. We noted the Historical Debt line outlining what Westhampton was able to fund for FY04-FY13. This provides a useful context for the current debt exclusion proposition. We voted 8-0-1 to recommend the purchase of the highway truck contingent on the passing of a debt exclusion.

### **Schools and Libraries (Lines 40-48)**

We considered lines 41-48. We held for discussion lines 43 and lines 45. We corrected the amount on line 47. It should read \$1,380. We voted 9-0-0 to accept lines 41, 42, 44, 47 and 48.

Discussed line 43: Vocational Tuition. We noted that the amount on the budget is incorrect as we just received notice that the vocational tuition is increasing by approximately \$2,000 per student. The correct amount is \$248,750. We voted 9-0-0 to accept this amount.

Discussed line 45: Elementary School. We reviewed the sheet sent to us from Bobbie Jones clarifying the increase for teachers' salaries (see attached). We noted that the sheet provides clarification as it itemizes the step increases, salary increases and the amount that must be added to the budget to fund the salaries which were partially funded through school choice money last year. We noted that it appears to be arbitrary where the school choice money is allocated from year to year and that that makes for a lack of transparency in the budget. It is difficult to compare expenses from year to year due to this bookkeeping issue. We further discussed the Foundation Reserve money (pothole money), see above. We noted that the pothole money reduces the increase over last year's budget from 13% to 9.8%. We noted that the town budget is unable to support such a sizable increase and looked for ways to at least partially meet the schools needs while balancing the town budget. We considered whether a 7% increase over last year's budget was doable for the town. A 7% increase would be \$1,445,006. We held the vote on this line until the remainder of the budget was discussed.

### **Veterans (Lines 49-53)**

We considered lines 50-53. We corrected the amount on line 51. It should read \$1,615. We voted 9-0-0 to accept lines 50-53.

### **Cemeteries (Line 56) and Protection of Persons and Property (Lines 58-82)**

We considered lines 56 and 59-82. We held for discussion lines 62, 68, 78, 79 and 81. We voted 9-0-0 to accept lines 56, 59-61, 63-67, 69-77, 80 and 82.

Discussed line 62: Police Capital. We noted that John Shaw reported in our April 1 meeting that there is approximately \$7,000 left over in the police account this year. David White reports that he could purchase a less-sophisticated radar sign with that money and take the \$12,000 for the new radar sign off of the Capital Planning sheet. We noted that the \$7,000 sign would only display a driver's speed and flash when it is in excess of the limit but not have the capacity to record data regarding traffic flow and density. It was noted that a less expensive sign is appealing, but a sign with data-recording capabilities may be worthwhile as it would give Westhampton more leverage when making the case for the toll traffic from HRHS takes on the town and the need for more support from the HRHS community. We discussed the possibility of waiting until the fall to purchase the radar sign from Free Cash. We voted 8-1-0 to recommend \$0 for line 62.

Discussed line 68: SCBAs. We discussed that our current SCBAs are in poor shape and that it poses a risk to our firefighters and EMTs. We reviewed Margie's Draft Debt Schedule and noted the impact on the tax rate if the SCBAs were a Capital Exclusion. We noted that it seemed unlikely that voters would approve both a debt exclusion for a highway truck and a capital exclusion for SCBAs in the same year. We looked for ways to keep the SCBAs in the budget. We voted 9-0-0 to recommend \$45,000 for line 68. (Note: We reconsidered and revoted this later in the meeting).

Discussed line 78: Board of Health Salary and line 79: Board of Health Expense. We questioned the need for a Board of Health salary and expense if we go with the Foothills Health District. We voted 9-0-0 to recommend \$300 for line 78: Board of Health Salary (\$100 for each member) and \$500 for line 79: Board of Health Expense.

Discussed line 81: Foothills Health District. We reviewed the Foothills Agent vs. Foothills Health District packet (see attached). We noted the increase in fees for permits and licenses under the Foothills Health District. We also noted that, while the costs increase, the town does not have a feasible alternative for supplying these services. We need a health agent to service Westhampton as it is Mass state law and a mandate. Volunteers are not available to go to the classes and obtain the necessary certifications. We noted that it seems prudent to join the Foothills Health District. We voted 9-0-0 to accept line 81.

### **Debt & Interest (Lines 84-86) and Unclassified (Lines 89-104)**

We considered lines 84-104. We voted 9-0-0 to accept lines 85, 86, 90-95 and 97-104.

### **Non-Appropriation (Lines 113-117)**

We reviewed the Assessments, Offsets and Overlay lines. Margie noted that the Assessments and Offsets lines have increased. They should read \$94,029 and \$86,247, respectively.

### **Revenues (Lines 124-143)**

We considered lines 124-143. We noted that line 134: Local Receipts is an estimate and Margie noted that it would be reasonable to estimate \$320,000 in receipt revenue for this year (up from \$315,000 last year).

We noted that with all of the adjustments in the budget we were still over by \$36,000 (down from \$497,000 over). We went back over the whole budget and discussed where further adjustments could be made. We reconsidered and revoted on the following.

We reviewed the Road Machinery budget in the Highway Department and noted the \$6,000 increase from last year's budget for parts. We voted 9-0-0 to recommend \$40,864 for line 32: Road Machinery.

Again noting that snow removal is the only area where we may incur debt, we considered level funding this line. We voted 9-0-0 to recommend \$85,000 for line 34: Snow Removal.

We considered line 68: SCBAs. We discussed inverting the payment plan for the SCBAs changing from payments of \$45,000, \$45,000 and \$35,000 over three years to \$35,000, \$45,000 and \$45,000. We voted 9-0-0 to recommend \$35,000 for line 68: SCBAs.

We further discussed line 45: Elementary School. We voted 7-1-1 to recommend \$1,445,006 for line 45.

We voted 9-0-0 to recommend \$126,000 of Free Cash be used to balance the budget.

We noted that if Westhampton receives the grant for SCBAs that Chris Norris applied for, this would favorably impact the budget.

We noted that the budget is now within \$10,000 of being balanced which is permissible as it is within the projected margin of new growth.

Ellice thanked everyone for their good efforts. Thank you to Margie for staying on FinCom this year and lending her expertise. There are no further meetings unless we

need to transfer funds. All Finance Committee members will review the final votes by the end of the week. The Town Caucus will be at 7:30 on Monday, April 14th.

The meeting adjourned at 10:00 pm.

Respectfully Submitted by Mary Cleary